

PRE-SEED INVESTMENT MEMORANDUM

Invisible Accountant

The end of tax anxiety. Just send a text.

Autonomous fiscal compliance for 3.2 million UK sole traders delivered natively via WhatsApp. Zero applications to download. Zero chart-of-accounts training. Full statutory HMRC filing.

HMRC MTD ITSA Ready

£250k SEIS + £100k EIS Eligible



Invisible Accountant

INVISIBLE ACCOUNTANT

HMRC MAKING TAX DIGITAL READY · CLOUD INFRASTRUCTURE

✓ 0 App Downloads · 100% WhatsApp Native Habit

✓ Cryptographic Digital Links Sealed under SI 2021/1076

✓ Dual-Tranche SEIS (£250k) & EIS (£100k) Structure

INVESTMENT THESIS

The B2C illusion masking a B2B2C enterprise powerhouse.

£250K SEIS · £100K EIS

PRE-SEED SYNDICATE · £350,000 ALLOCATION

STATUTORY MARKET CATALYST

The MTD 2026 Mandate

In April 2026, HMRC's Making Tax Digital (MTD) mandate comes into full force.

This legislation effectively outlaws 'shoebox accounting'. It enforces mandatory digital record-keeping and strict quarterly updates.

"The urgency of our proposition is driven by a massive, unavoidable government mandate. In April 2026, HMRC's Making Tax Digital (MTD) mandate comes into full force for 3.2 million UK sole traders. This is not a gradual market shift; it is a forced-adoption event of unprecedented scale..."

STATUTORY PHASING & TAM BREAKDOWN

The Forced-Adoption Event

HMRC's compulsory timeline creates non-negotiable software demand across Britain's 3.2M micro-businesses.

PHASE 1: APRIL 2026

>£50,000

780k Sole Traders & Landlords
Compulsory quarterly filing starts

PHASE 2: APRIL 2027

>£30,000

+1.45M Sole Traders
Mass adoption expansion cohort

SCHEDULE 24 PENALTY

£200 Fine

4 Missed Period Threshold
Automatic points-based sanctions

COMPULSORY TAM

£40M+ Spend

Immediate Day-1 Software Spend
3.2M total UK micro-enterprises

⚡ Non-compliance is punishable by law — making Invisible Accountant a mandatory utility rather than an optional app.

Meet 'Emma': Behavioral UX

Traditional accounting software imposes corporate double-entry bookkeeping on sole traders, triggering the **'Shoebox Avoidance Loop'**—administrative dread that leads to missed deductions and HMRC penalties.

Emma lives entirely inside **WhatsApp**. By attaching receipt capture to an existing physical micro-habit at the trade counter, we achieve zero switching friction.

LOSS AVERSION (KAHNEMAN & TVERSKY)

Logging £48.50 at Screwfix preserves **£12.61 in cash tax relief** (20% Income Tax + 6% Class 4 NIC). Emma turns an administrative chore into active wealth preservation.

DUAL-STREAM INGESTION: EXPENSES & SALES INCOME

Snap trade receipts at the till OR forward sales invoices / customer payment notifications. Emma reconciles gross turnover alongside allowable deductions.

Meta WhatsApp conversation COGS: <£0.50/user/mo against £10/mo subscription = **90%+ Gross Margin**.

"Traditional solutions force 3.2 million tradespeople and

Legacy Desktop Software

Manual Web Portal · 50+ Chart-of-Account Dropdowns

47 Unreconciled Items

app.cloudledger.co.uk/sole-

Dave Jenkins Plumbing (Sole Trader · UTR: 84920 11928) **HMRC ITSA 2026/27**

47 Unreconciled Items · Q1 Period Closing in 12 Days
Late quarterly filing risks statutory penalties under FA 2021 Sch 24.

14 MAY 2026
POS 4821 SCREWFIX BISHOPSGATE **£48.50**
Card Payment · Till 02 **Unmatched**

CHART OF ACCOUNTS CATEGORY (50+ CHOICES) *

310 - Small Tools & Equipment (BIM37000)

- 300 - Purchases for Resale (Materials)
- ✓ 310 - Small Tools & Equipment (BIM37000)
- ⚠ 420 - Subsistence / Client Lunch [DISALLOWED BIM45000]
- 450 - Motor & Travel Expenses (BIM47700)
- 710 - Sundry Office Administration

VAT Treatment: 20% Standard Input (£8.08) Net: £40.42

⚠ **Digital Link Breach:** No receipt attached. Manual entry without source document breaks digital link under Regulation 4, SI 2021/1076.

Reconcile Item Find Match

13 May · TRAVIS PERKINS EC2 Direct Debit · Materials **-£142.20** **Unreconciled**

12 May · SHELL PETROL STATIONS UK Contactless · Fuel **-£65.00** **Unreconciled**

The Shoebox Dread: 47 items waiting after 10 hours on site. 50+ dropdowns, manual BIM rules, and broken digital links.

User Point of View: Emma

Native WhatsApp

Point-of-Sale Snap · Instant £12.61 Tax Relief Preserved

10:45 5G 98%

Emma Invisible Accountant · HMRC ...

TODAY · 14 MAY 2026

SCREWFIX DIRECT LTD
STORE 412 · LONDON BISHOPSGATE EC2M
14/05/2026 10:38 · TILL 02 · TRANS 88412

1x STANLEY FATMAX KNIFE	£16.50
1x RAWLPLUG 300PK FIXINGS	£18.00
1x DRAPER 5M HEAVY TAPE	£14.00

SUBTOTAL (NET):	£40.42
VAT @ 20.0%:	£8.08
TOTAL PAID (GBP):	£48.50

VISA CONTACTLESS · CARD *4821 · AUTH 049281	

✓✓ 10:42 AM

⚡ **Logged in 3.1s · Screwfix Bishopsgate**

- Allowable Expense: £48.50 (Trade Consumables)
- HMRC Category: **BIM37000** (Tools & Materials)

👉 **£12.61 Cash Tax Relief Preserved**
20% Basic Income Tax (£9.70) + 6% Class 4 NIC (£2.91)

🔒 **Digital Link:** SHA-256 sealed under SI 2021/1076

📊 **Q1 ITSA Reserve:** £1,420 / £3,200 estimated

"All sorted for HMRC Dave. Back to work!"

📄 View Cryptographic Audit Link (SHA-256)

10:43 AM

3-Second Trade Counter Habit: Photo snapped at the till. Zero app switching, 100% BIM37000 compliant, and unbroken digital link.

The Statutory Tax Engine

Generic LLMs hallucinate and fail UK tax tribunals. Our inference engine is custom fine-tuned on HMRC's **Business Income Manual (BIM)**.

- **Allowable Deductions:** Automatically approves trade purchases under *BIM37000* (e.g. Screwfix tools/materials).
- **Statutory Disallowances:** Strictly disallows client hospitality under *BIM45000* & *s.45 ITTOIA 2005*, protecting users from Schedule 24 FA 2007 careless error penalties.
- **Unbroken Digital Link:** Programmatically seals transaction hashes under *SI 2021/1076* for direct quarterly MTD ITSA staging.
- **In-Year True-Up Engine:** Automated reconciliation of provisional quarterly reserves against capital allowances (CAA 2001) prior to final HMRC declaration.

AUTONOMOUS TRUE-UP

Dynamic reconciliation of dual-purpose costs & capital allowances before HMRC filing.

<92% CONFIDENCE GUARD

Two-button WhatsApp query or routes to accountant for Schedule 24 care.

"Investors ask: 'Is this just a wrapper?' The answer is categorically no. A generic LLM cannot navigate UK tax law. Emma enforces statutory rules under BIM37000, blocks penalties under BIM45000 and Schedule 24 FA 2007, and automatically trues-up provisional reserves before final quarterly submission..."

SCREWFIX DIRECT

London Bishopsgate • EC2M

1x Stanley Knife	£16.50
1x Masonry Fixings	£18.00
1x 5m Tape Measure	£14.00

TOTAL: £48.50 GBP

✓ Verified Paper POS Receipt

```
{
  "vendor": "Screwfix Direct",
  "amount": 48.50,
  "currency": "GBP",
  "hmrc_category": "BIM37000",
  "status": "100% Allowable",
  "tax_saved": 12.61,
  "digital_link": "SI-2021-1076",
  "reconciliation": "Auto-Reconciled"
}
```

STATUTORY MANUAL
BIM37000 (Tools & Materials)

DIGITAL LINK SEAL
SI 2021/1076 Cryptographic Hash

TAX PRESERVED
£12.61 Cash Saved (20% IT + 6% NIC)

TRIBUNAL DEFENSE
100% Defensible (Sch 24 Care)

B2B2C PRACTICE DISTRIBUTION

The B2B2C Trojan Horse

Pure B2C financial apps burn millions on CAC. We bypass this entirely with a **B2B2C Enterprise White-labeling** strategy.

By selling an enterprise licence to one accountancy practice, we deploy 'Emma' across 1,000 to 5,000 sole traders overnight.

WHOLESALE PRACTICE BUNDLE

£6.00

/ client / mo (100+ client packs)

PRACTICE MONETIZATION

40% Margin

Firm rebills £10/mo; saves 8 hrs/wk

ZERO PRACTICE DISRUPTION

Emma does **not** replace Xero, Iris, or Sage. Emma acts as the autonomous frontline ingestion conduit, converting messy WhatsApp receipts into pre-reconciled, digitally linked journals piped straight into the accountant's current software.

"Accountants don't need to change their existing software. Emma doesn't replace Xero, Iris, or Sage; she eliminates the 8 hours a week spent chasing shoe-boxes of receipts and pipes reconciled journals directly into their current platform..."

PRACTICE VIRAL INGESTION MODEL

1 Accountancy Partner → 1,000+ Sole Traders

CAC: £0.30 (vs £150 B2C)



Viral Expansion: **k = 4.2**

Zero Direct B2C Ad Burn

The Technical Moat: Enterprise Rigour

This is not a ChatGPT wrapper. Our moat is built on deep HMRC integration and banking-grade security architecture.

- **HMRC Production Gate:** Formally submitted for Production API Credentials (Ticket 2026-OUP153) with schema-validated JSON periodic updates and automated digital linking under *SI 2021/1076*.
- **FIPS 140-3 CloudHSM Vault:** Envelope encryption with automated 90-day AES-256-GCM master key rotation, SHA-256 salted PII hashing, and tamper-evident AEAD authentication tags.
- **HMRC Anti-Fraud Telemetry:** Mandated fraud prevention headers (Gov-Client-Connection-Method: OTHER_VIA_SERVER), static egress IP whitelisting, and OAuth 2.0 PKCE with automated circuit breakers.
- **Independent Security Audit:** Passed comprehensive CREST-accredited penetration test (Intruder.io) with zero critical or high vulnerabilities.

"Our technical moat is built on enterprise-grade rigour. Our master vault leverages FIPS 140-3 CloudHSM with automated 90-day AES-256-GCM key rotation, eliminating single points of failure. Every transaction is sealed with SHA-256 digital links and authenticated AEAD tags before touching HMRC infrastructure..."



- ✓ **Zero Plaintext Storage:** Tokens protected with AES-256-GCM authenticated tags
- ✓ **Mandated Anti-Fraud:** Full Gov-Client header chain submitted on every request
- ✓ **Statutory Digital Links:** SI 2021/1076 cryptographically sealed before gateway entry

The "Zero-Friction" Compliance Roadmap

Phase 1: Zero-Friction Launch & Multi-Rail Insulation

Bypass the 12-month FCA authorization bottleneck. HMRC rules confirm a photo of a trade receipt satisfies the statutory digital link under *SI 2021/1076*. **£0 regulatory licensing, immediate market capture.**

Statutory Sign-Off: Emma stages the digital update; taxpayer / agent gives one-tap cryptographic consent before HMRC gateway entry (100% taxpayer liability preserved).

🔒 **Platform Risk Insulation:** Meta Cloud API (99.9% SLA) fortified by automated failover to Twilio Enterprise SMS and offline Web PWA—guaranteeing zero single-vendor lock-in.

Phase 2: Premium Banking-as-a-Service Auto-Reconciliation

Partner with TrueLayer (BaaS). They absorb the FCA compliance risk; our engine consumes their Open Banking API to automatically match WhatsApp receipts against live bank feeds—delivering institutional-grade auto-reconciliation.

"We have eliminated both regulatory delay and platform dependency. By leveraging receipt OCR, we achieve full HMRC compliance under SI 2021/1076 with zero FCA licensing delay. Crucially, we insulate against Meta platform risk through automated multi-rail fallback to Twilio SMS and Web PWA..."

MULTI-RAIL ARCHITECTURE Autonomous Auto-Reconciliation

Zero Vendor Lock-In

Receipt OCR (SI 2021/1076)

TrueLayer Open Banking

GATEWAY 1 • DAY-1 LIVE
Direct Receipt OCR & Digital Links

£0 FCA Delay

GATEWAY 2 • MONTH 6
TrueLayer Open Banking Feeds

BaaS Handled

MULTI-RAIL FAILOVER
WhatsApp → Twilio SMS → Web PWA

99.9% Uptime

Pre-Seed Syndicate & Terms

£350,000

Firm Allocation on £3.2M Post-Money Cap · £250k SEIS +
£100k EIS Dual Tranche

UNIT PRICING

£10 / mo

B2C / £6 Wholesale

BREAKEVEN

Month 10

1,950 seats B/E

MONTH 14 RUN-RATE

£504k ARR

4,200 seats · £22.5k
net/mo

USE OF PROCEEDS ALLOCATION

- 55% Core HMRC Engineering
- 25% FIPS Security & Audits
- 20% Practice Distribution

"We are closing a £350,000 Pre-Seed syndicate allocation on a £3.2M post-money valuation. Structured under HMRC rules as a dual tranche: £250,000 statutory maximum SEIS offering 50% income tax relief, plus £100,000 EIS offering 30% relief—delivering £155,000 (44.3% blended) in immediate tax relief. We have 18 months of runway, reaching operational breakeven at Month 10 on 1,950 seats, accelerating to £504k ARR by Month 14..."

10x to 20x M&A Return Target

Targeting £32M - £64M strategic trade exit as the primary client acquisition engine for the 3.2M UK sole trader market.

Legacy Cloud Incumbents

Strategic Acquisition

Xero, Intuit (QuickBooks), Sage, IRIS: Squeezed by churn among sole traders unable to use desktop portals; acquiring Emma to capture frontline conversational ingestion.

Challenger Neo-Banks

Ecosystem Moat

Monzo, Revolut, Starling, Tide: Aggressively packaging business accounts with automated HMRC MTD compliance to achieve primary operating account lock-in.

CONCLUDING REMARKS & Q&A

Thank You.

Presented by Anas Wahab

Founder & Systems Architect · Invisible Accountant
Autonomous Fiscal Compliance Infrastructure for UK Micro-Enterprise

THE 18-MONTH REGULATORY WINDOW

HMRC's April 2026 deadline creates an unrepeatable compliance gold rush. Incumbents are paralyzed by legacy desktop portals; AI wrappers are legally indefensible. Invisible Accountant owns the conversational compliance layer for UK micro-enterprise.



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THE END OF TAX ANXIETY · LONDON EC2

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SYNDICATE ALLOCATION
£350,000 Allocation

£250k SEIS · £100k EIS

FLOOR OPEN

Questions, Technical Architecture Deep Dive & Due Diligence Discussion.

TERM SHEET EXECUTABLE